

ARBITRAL TRIBUNAL
SOLE ARBITRATOR: MR. JUSTICE (RETD.) N. K. VARADACHARI
SEAT OF ARBITRATION: NEW DELHI
ARBITRATION CASE NO. ARB/114/2026

Meridian Infra Projects Limited

... CLAIMANT

VERSUS

Konkast Engineering & Construction Private Limited

... RESPONDENT

ARBITRAL AWARD

1. This Tribunal was constituted by order of the Hon'ble High Court of Delhi dated 12.09.2025 in ARB.P. 402 of 2025, following the Claimant's Notice Invoking Arbitration dated 22.06.2025 under Clause 28 of the EPC Contract dated 20.05.2024. The Tribunal recorded its disclosure under Section 12(1) of the Act on 05.10.2025 and, by Procedural Order No. 1 dated 20.10.2025, fixed the schedule for pleadings and evidence.
2. The Claimant filed its Statement of Claim on 15.11.2025 claiming Rs. 4,52,00,000 towards unpaid certified work and delay damages. The Respondent filed its Statement of Defence and Counterclaim on 10.01.2026, admitting execution of the Contract and receipt of the advance of Rs. 3,72,00,000, but disputing the quantum of RA Bill No. 7 and the attribution of delay, and counterclaiming Rs. 68,00,000 for additional works. The Claimant filed its Rejoinder on 05.02.2026, and the list of issues was settled by Procedural Order No. 3 dated 25.02.2026.
3. Both parties led witness evidence. The Claimant examined Ms. Neha Kohli, Vice President (Contracts), and its site engineer; the Respondent examined its Contracts Manager. Cross-examination of all witnesses concluded on 20.05.2026, and both parties filed written submissions on 30.06.2026, following which oral arguments were heard and the Award was reserved.
4. ISSUE 1: Whether RA Bill No. 7 was certified for Rs. 89,40,000 as pleaded by the Claimant or Rs. 92,40,000 as pleaded by the Respondent. The Tribunal has examined the certification register maintained by the Claimant's Engineer-in-Charge, which is a contemporaneous record maintained in the ordinary course of contract administration and was proved through the testimony of Ms. Kohli. The Respondent's figure of Rs. 92,40,000 does not correspond to any contemporaneous certified record placed before the Tribunal, and the Respondent's witness was unable, in cross-examination, to identify the document or engineer by whom that figure was certified. The Tribunal accordingly accepts the Claimant's certification record and holds that RA Bill No. 7 was certified at Rs. 8,94,00,000.
5. ISSUE 2: Whether the delay in completion of the third substation is attributable to the Claimant or the Respondent. The Tribunal has considered the site diary entries in evidence, which record that site access for the third substation was substantially handed over to the Respondent by 05.03.2025 without any written objection raised at that time. However, the same diary also records continuing land-clearance formalities at the site into April 2025, corroborating the Respondent's contention of a residual impediment. On a preponderance of the evidence, the Tribunal finds that the delay is attributable in part to each party, and apportions 65% of the delay to the Respondent (on account of its own mobilisation taking approximately seven

additional weeks beyond the residual land-clearance period) and 35% to the Claimant.

6. ISSUE 3: Whether Clause 22 of the Contract (delay damages) is enforceable or constitutes a penalty under Section 74 of the Indian Contract Act, 1872. Clause 22 stipulates damages at 0.5% of the delayed portion's value per week, subject to a cap of 7.5% of the Contract Value. Applying the principle in *ONGC v. Saw Pipes Ltd.*, (2003) 5 SCC 705, that a stipulated sum is recoverable as reasonable compensation not exceeding the amount named, without requiring proof of actual loss where the clause is a genuine pre-estimate, the Tribunal holds that the graduated, capped formula in Clause 22 is a genuine pre-estimate of loss and not an in terrorem penalty, and is accordingly enforceable, subject to apportionment as found on Issue 2.
7. ISSUE 4: Whether the Respondent is entitled to the counterclaim of Rs. 68,00,000 for additional works. The Respondent's own case is that the additional works, including cable trenching beyond the contracted scope, were directed telephonically without any written variation order under Clause 13 of the Contract. No contemporaneous written instruction, site memorandum contemporaneous with the works, or measurement record corroborating the claimed scope and value was placed before the Tribunal. In the absence of any such record, the counterclaim is dismissed.
8. ISSUE 5: Relief. Having regard to the findings on Issues 1 to 4, the Tribunal computes the sums due to the Claimant as follows: (a) unpaid certified work, being the difference between work certified of Rs. 15,20,00,000 and the sum of payments received against certification and advance adjusted, together with (b) delay damages restricted to 65% of the Respondent's share of the capped exposure of Rs. 1,42,00,000, aggregating a consolidated sum of Rs. 2,42,30,000.
9. The Tribunal accordingly awards the Claimant a consolidated sum of Rs. 2,42,30,000, together with interest at 9% per annum from the date of this Award until realisation, and costs of the arbitration. The counterclaim stands dismissed.
10. This Award is final and binding on the parties, subject to their rights under Section 34 of the Arbitration and Conciliation Act, 1996. The Respondent is directed to comply with this Award within ninety days of its receipt, failing which the Claimant shall be entitled to execute this Award as a decree of the Court in accordance with Section 36 of the Act.

(Justice (Retd.) N. K. Varadachari)
Sole Arbitrator